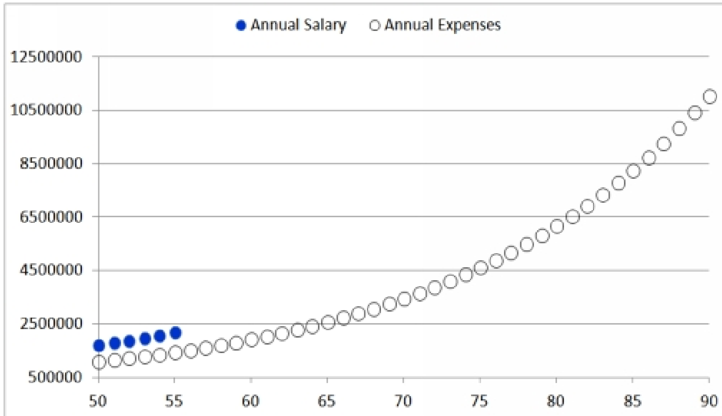
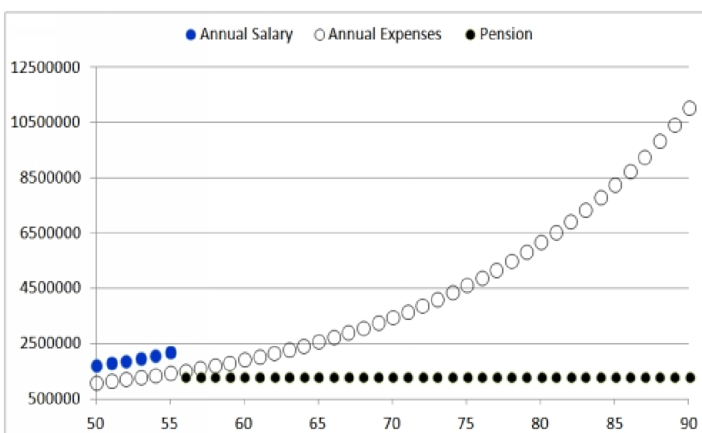


Notice that your expenses will not stop when your income stops. They are going to continue till the day you die (we have only considered your *present* essential expenses, new such expenses will come - car, home EMI, school for child).

Retirement is a big deal because, your income drops to zero while inflation keeps rising every year. Unless you have assured means to generate income that keeps up for essential expenses and medical emergencies, you will have to continue working or depend on your relatives/friends. Now, nobody wants that!

With the previous generation, post-retirement income typically meant - a pension. Pensions are a flat income - the equivalent of about 50-60% from the last drawn salary. If you pan it across the same chart, pensions would not be enough to cover the expenses of the next year.



While the minimum post-retirement income should match your expenses, we must be prudent to cover for unexpected medical emergencies as well. This means that the income post-retirement must increase at the rate at which your expenses do. In other words: an inflation-protected income.